

24SMCV02369 24SMCV02369

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TENTATIVE RULING

July 15, 2026

24SMCV02369 (Origo Financial
Services Inc. v. Par Movie LLC, et. al.)

RELEVANT BACKGROUND

On May 17, 2024, Origo

Financial Services, Inc. (Origo) initiated this lawsuit against Par Movie LLC (Par) and Orwo Production Studios, Inc. (Orwo), asserting claims for breach of contract, commons counts, and for the appointment of a receiver.

On December 15, 2025,

Par and Orwo (collectively, Cross-Complainants) filed the second amended cross complaint (SACC) against Origo Financial Services Inc. (Origo), Origo Fund US LP, Origo Fund LP, Origo Financial Services Ltd, Avi Haas (Haas), And Richard Carlo (Carlos) (collectively, Cross-Defendants). Cross Complainants allege eleven causes of action in the SACC: (1) Extortionate Credit Transactions; (2) Fraud and Civil Code § 1916(2)); (3) Unlicensed Lender; (4) Lack of Lawful Status – Penal Code § 115 & Code of Civil Procedure § 367; (5) Unfair Competition – B&P Code § 17200; (6) California RICO – Penal Code §§ 186.2 and 186.3; (7) RICO – 18 U.S.C § 1962; (8) California Usury; (9) New York Usuary; (10) RICO – 18 U.S.C § 1962; and (11) Abuse of Process.

This action concerns a

film-financing agreement in connection with the film “97 Minutes.” (SACC ¶

4-5.) Par borrowed money from Origo to complete the film, and Orwo provided a corporate guaranty for the loan. (Id.) Origo alleges that Par failed to timely repay the loan and Orwo failed to satisfy its corporate guaranty. (Id.) The loan provided for financing of \$1,500,000. (Id.) The terms in the loan were memorialized in four documents: the Film Financing Agreement (the "Loan Agreement"), the Security Agreement, the Copyright Mortgage, and the Corporate Guaranty Agreement (the "Corporate Guaranty"). (See Complaint and RJN, Ex. A [Loan Agreement], Ex. B [Security Agreement], and Ex. E [Corporate Guaranty]).) Par was required to repay the loan within an eight-week term. (SACC ¶ 4.) Haas and Carlo, as loan signatories, also undertook positions as executive producers of the motion picture, thereby placing themselves under duties of care and loyalty owed to Par. (Id.)

On February 3, 2026, the Court sustained Origo's demurrer to the first, sixth, seventh, ninth, tenth, and eleventh causes of action of the SACC without leave to amend. The Court sustained the demurrer to the remaining causes of action with leave to amend. Cross-Complainants did not file a third amended cross complaint (TACC) following the Court's ruling.

INSTANT MOTION

On February 17, 2026, Cross-Complainants Par and Orwo filed the instant motion for reconsideration of the Court's February 3, 2026, ruling sustaining Origo's demurrer without leave to amend. Orgio filed an opposition. No reply has been filed.

DISCUSSION

"When an application for an order has been made to a judge, or to a court, and refused in whole or in part, or granted, or granted conditionally, or on terms, any party affected by the order may, within 10 days after service upon the party of written notice of entry of the order and based upon new or different facts, circumstances, or law, make application to the same judge or court that made the order, to reconsider the matter and modify, amend, or revoke the prior order. The party making the application shall state by affidavit what application was made before, when and to what judge, what order or decisions were made, and what new or different facts, circumstances, or law are claimed to be shown." (Code Civ. Proc. § 1008, subd. (a).)

Here, Cross-Complainants argue that the following constitute new and different circumstances after the demurrer hearing:

Three days before hearing on Demurrer the undersigned Counsel was contacted pertaining to Defendant Origo Financial Services Inc having brought in outside personnel of a Colorado law firm to engage in an enterprise undertaking one of the Cross-Defendants to directly or indirectly conduct the enterprise affairs for collection of an unlawful debt, a stand-alone violation the Federal RICO Act 18 U.S.C. §1962(c). Because the engagement occurred only three business days before the demurrer hearing, counsel had no reasonable opportunity to investigate, establish the relevant circumstances and law, or present the subpoena conduct to the Court prior to the ruling.

(Motion at p. 2.)

Cross-Complainants further assert:

After the demurrer ruling, Defendants continued to pursue settlement with CrossComplainants through proposals that included additional payment deferrals, restructuring, and other credit accommodations concerning the loan relationship. These proposals constituted new extensions or modifications of credit arising after the demurrer hearing. The conduct concern that Defendants continue to treat the lending relationship as active and subject to ongoing credit deployment within the enterprise structure alleged in the Cross-Complaint. This post-ruling credit activity was not before the Court at the time of the demurrer ruling and constitutes new or different facts within the meaning of CCP §1008. The continuing extensions further support Cross-Complainants' allegations that Defendants operate as an ongoing lending enterprise rather than a close historical transaction. These regulatory facts directly address the Court's focus on lack of licensing and enterprise allegations and constitutes new facts under CCP §1008.

(Motion at
p. 5.)

In opposition, Origio argues that Cross-Complainants opted not to file a TACC and that the circumstances are not

new because Cross-Complainants were aware of the subpoena to the accounting firm, P&G Associates, prior to the filing of the SACC on August 18, 2025. (Declaration of Joseph R. Ashby, ¶ 4 & Ex. 1) Counsel Ashby declares that “On August 18, 2025, [he] served Paul Sigelman, who is counsel of record for PAR Movie, LLC, and Orwo Production Studios, Inc. with a NOTICE OF ISSUANCE OF DEPOSITION SUBPOENA FOR PRODUCTION OF BUSINESS RECORDS P&G ASSOCIATES, PLLC. A true and correct copy of my August 18, 2025, email to Mr. Sigelman, including the NOTICE OF ISSUANCE as to P&G Associates is attached as Exhibit 1.” (Id.) Origio also highlights that Cross-Complainants never served objections to that subpoena or engaged in any motion practice as to the subpoena. (Id. ¶ 5).

No reply has been filed.

The Court finds no adequate basis warranting reconsideration of the February 3, 2026, ruling. Cross-Complainants have failed to show that new and different circumstances exist. Since Cross-Complainants had notice of the subpoena months before filing the SACC and the hearing on the demurrer to the SACC, there is no basis to reconsider the Court's ruling sustaining the demurrer to the SACC. (Declaration of Joseph R. Ashby, ¶ 4 & Ex. 1)

Accordingly, Cross-Complainant's motion for reconsideration is DENIED.